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YARDENI QUICKTAKES

US Economy Continues To Roar, While The Fed Waits For More

By Ed Yardeni & Elias Griepentrog • 29 Oct 2026

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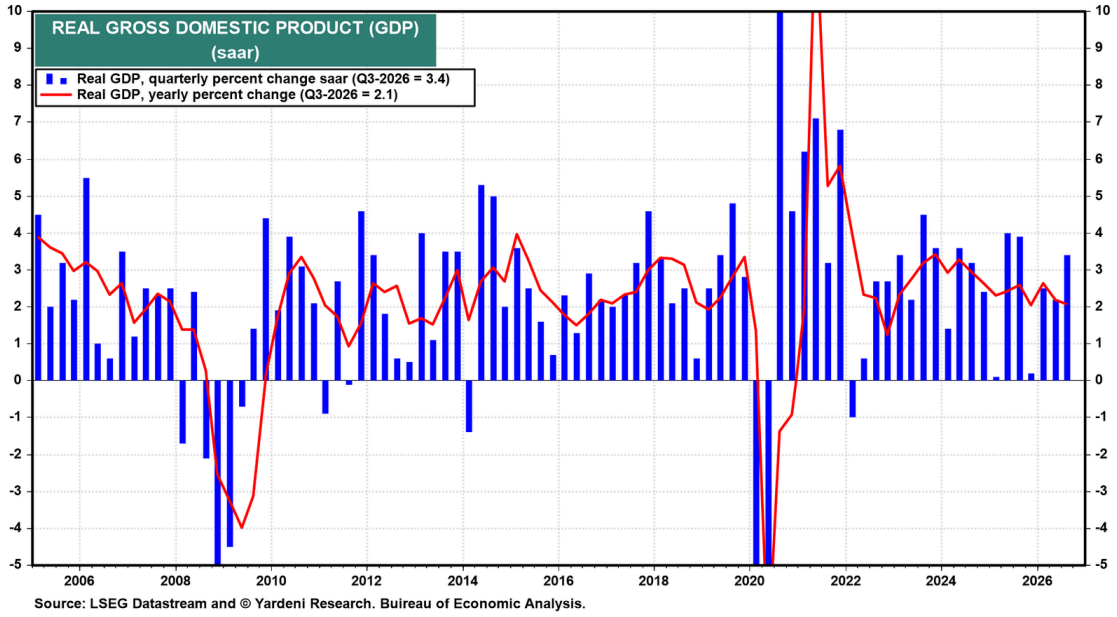
Photo by Pawan Sharma / Unsplash

The FOMC voted 10-2 on Wednesday to hold the federal funds rate at 3.75%-4.00%, with the two dissenters favoring a 25bps hike. Yet Fed Chair Kevin Warsh's assessment of the US economy sounded decidedly hawkish. Economic growth is robust and broadening, the labor market is in good shape, inflation remains above the Fed's 2.0% y/y target, and financial conditions are hardly tight. So why did the Fed stand pat?

Warsh argued that September's hike was already tightening financial conditions, inflation expectations remained anchored, and stronger productivity growth was allowing the economy to expand without overheating. With an "information-rich" period ahead, the Fed saw little reason to rush, he said.

In our view, the decision was puzzling. It reminds us of someone standing in a room with a fire alarm blaring and smoke pouring under the door, yet insisting on more evidence before calling the fire department. Thursday's economic data only reinforced our conviction that the Fed should have raised rates by 25bps on Wednesday. Let's take a closer look.

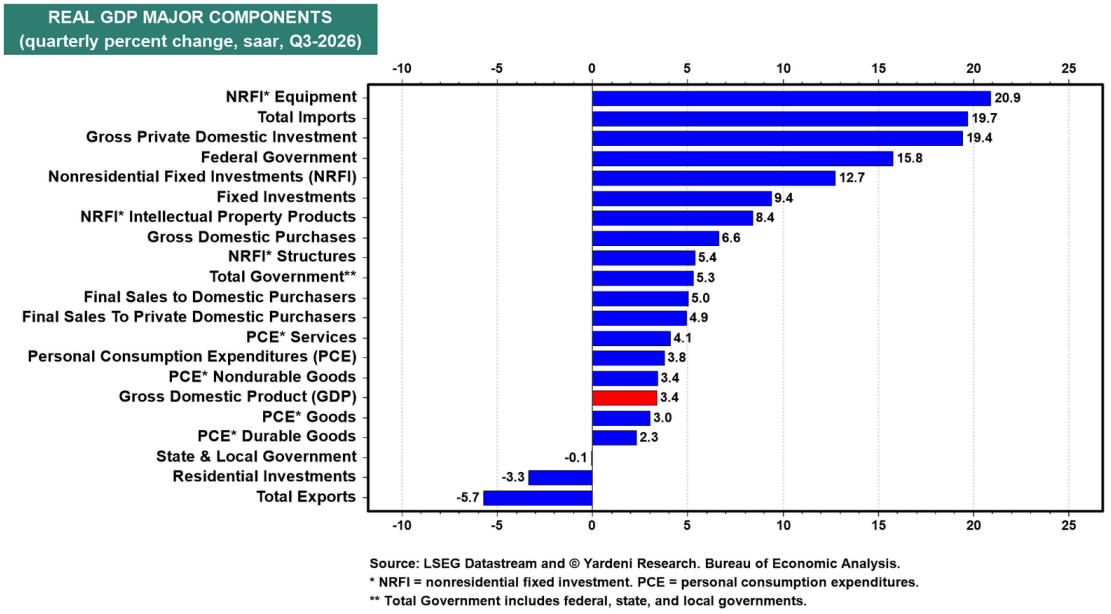
(1) GDP. The US economy expanded at a 3.4% annualized rate in Q3-2026, the largest gain in a year (chart).



A closer look reveals remarkably strong underlying demand. Real final sales to private domestic purchasers, excluding volatile trade and inventory swings, surged 4.9% (saar), the best increase since Q2-2021 (chart)! Consumer spending advanced 3.8% for the second consecutive quarter, its fastest pace since Q4-2024. Nonresidential fixed investment

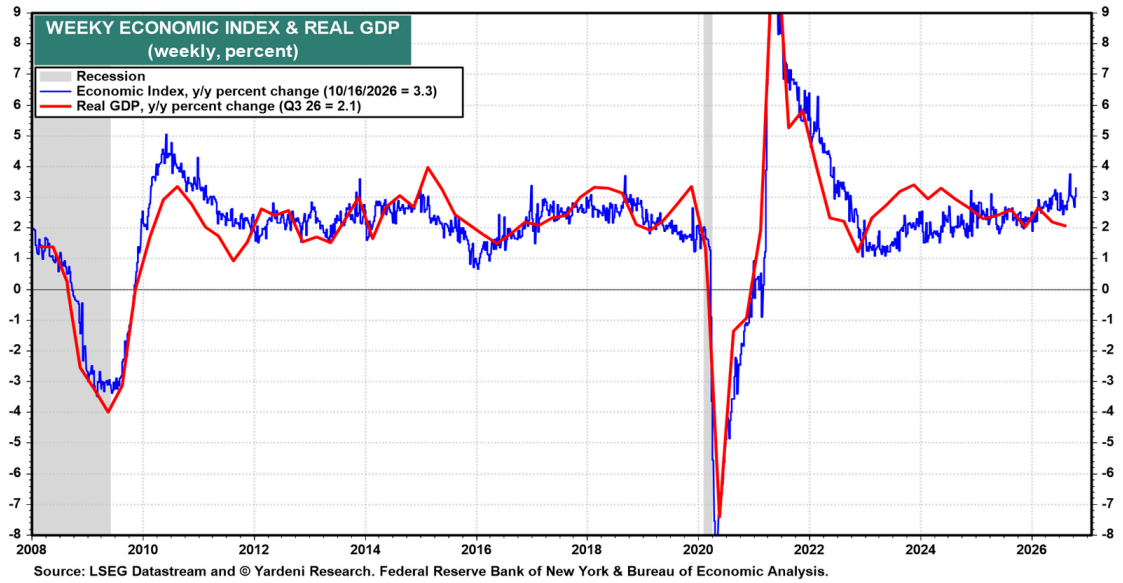
soared 12.7%, a pace last exceeded outside the pandemic period in Q2-1978. The AI investment boom was a major driver, with investment in information-processing equipment surging 37.4% and software investment rising 9.6%. Yet headline GDP understated this strength because net exports subtracted 3.32 percentage points from growth. Imports surged 19.7%, led by AI-related durable goods. Exports fell 5.7%.

Consumer spending and business investment are driving the US economic boom. Federal government spending is too, rising 15.8% last quarter.



Source: LSEG Datastream and © Yardeni Research. Bureau of Economic Analysis.
* NRFI = nonresidential fixed investment. PCE = personal consumption expenditures.
** Total Government includes federal, state, and local governments.

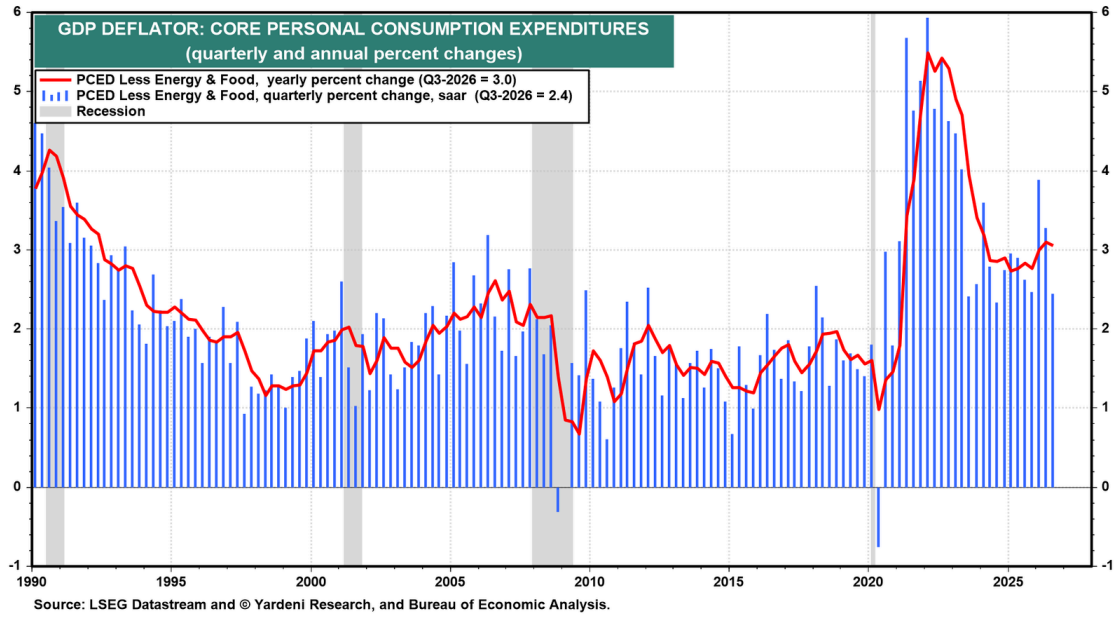
The Weekly Economic Index rose to 3.3% for the week ended October 16, signaling a solid start to Q4's real GDP growth (chart).



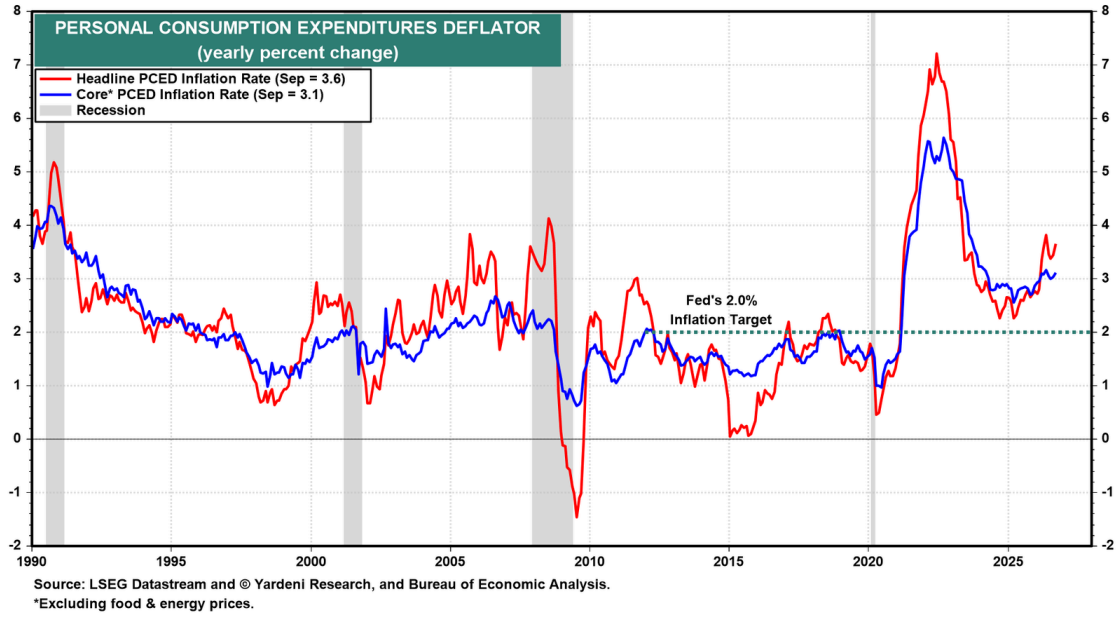
Source: LSEG Datastream and © Yardeni Research. Federal Reserve Bank of New York & Bureau of Economic Analysis.

(2) Inflation. In Q3's GDP report, core PCED inflation remained troublesome at 3.0% y/y, well above the Fed's 2.0% target (chart). On the

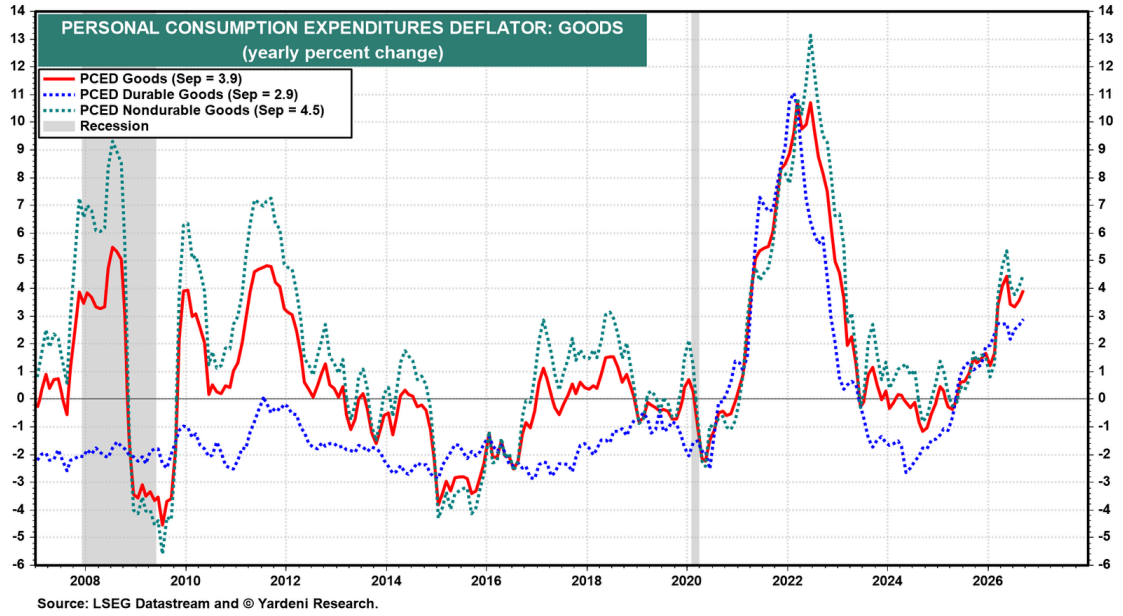
brighter side, it rose at an annualized rate of 2.4% during the quarter.



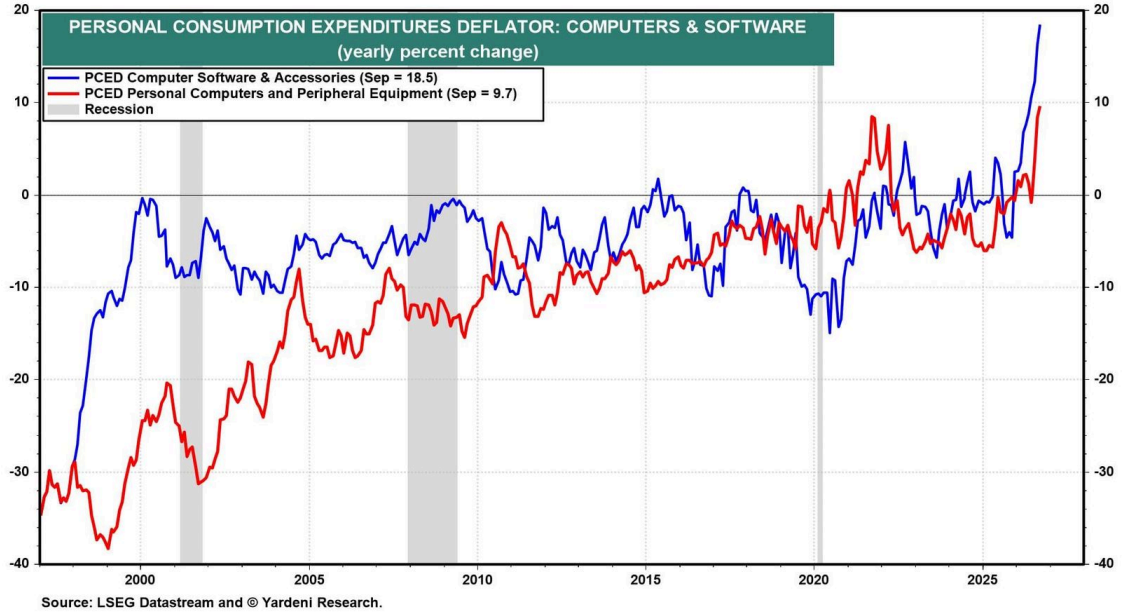
Headline PCED inflation rose 0.5% m/m in September, lifting its yearly rate to 3.6% (chart). Core PCED inflation, excluding food and energy, increased 0.3% m/m and 3.1% y/y. Both remain stubbornly above the Fed's inflation target. Furthermore, Warsh's inflation diffusion measure shows that nearly half of PCED components rose more than 3.0% y/y, compared with a pre-pandemic average of just 32%.



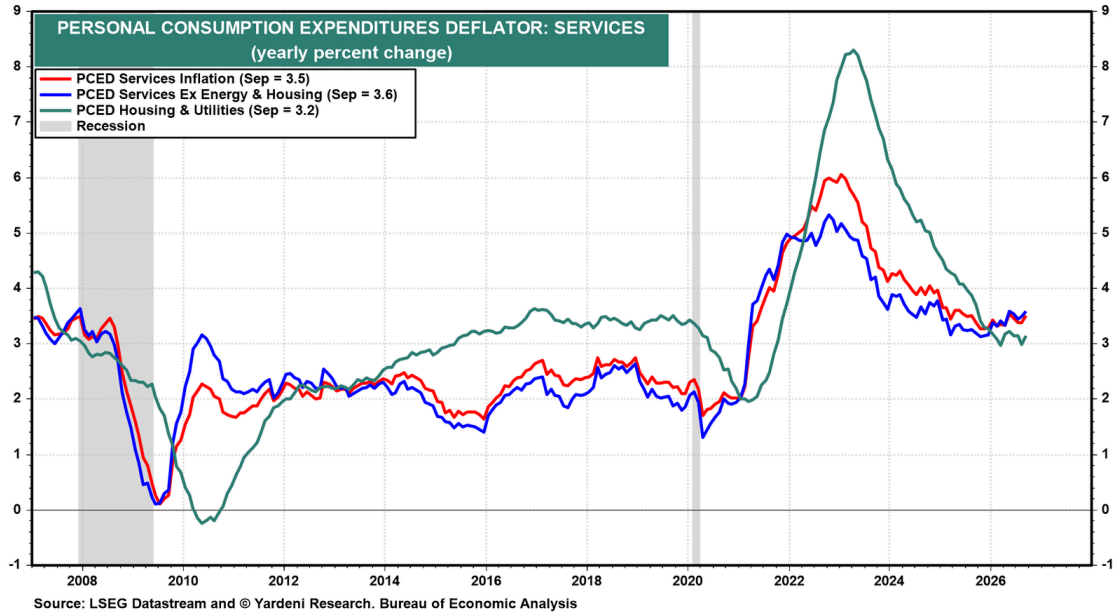
Goods PCED inflation rose to 3.9% y/y in September from 3.6% in August, partly reflecting a 7.3% m/m increase in gasoline prices (chart).



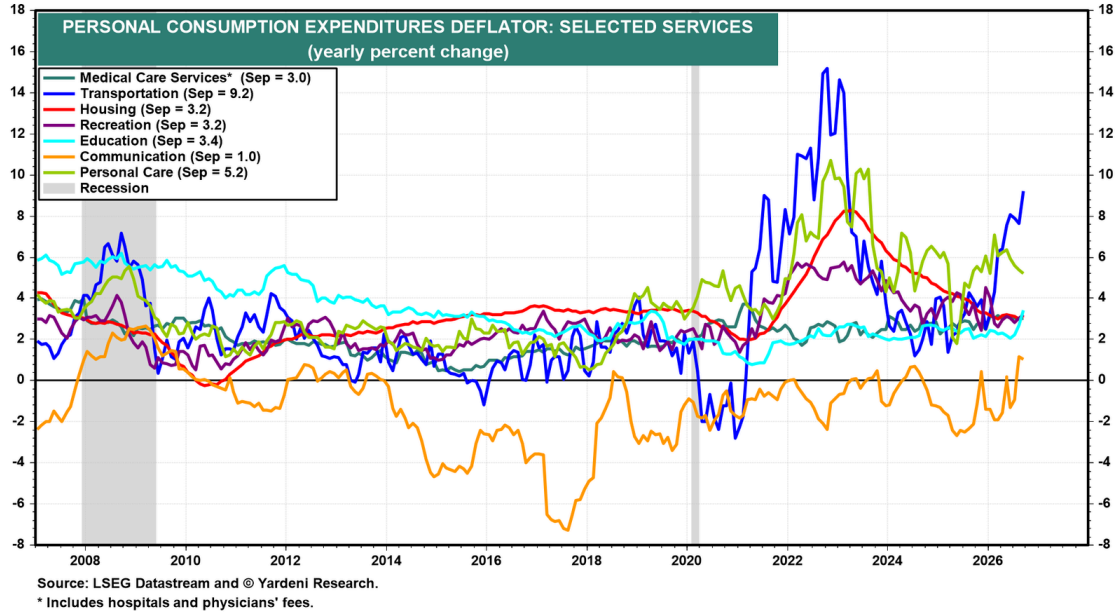
Tariff-related price pressures have yet to subside, while the AI investment boom is adding to inflation across the technology sector. Prices for computers and software are rising at record annual rates (chart). Together, these forces suggest goods inflation is unlikely to ease meaningfully soon.



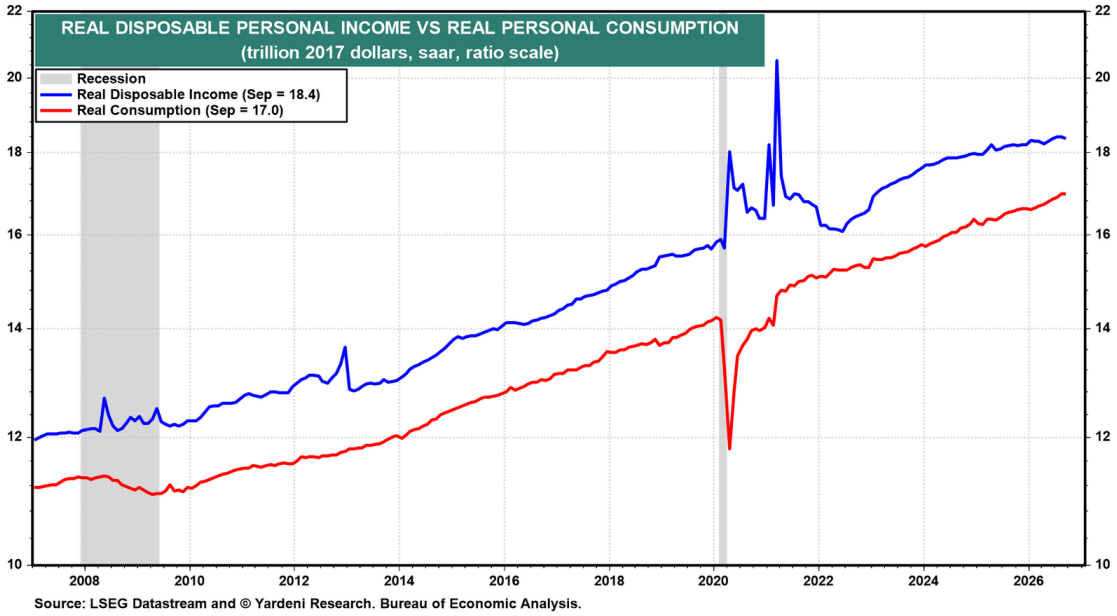
Services PCED inflation rose to 3.5% y/y in September (chart). Supercore services inflation, excluding housing and energy, edged up to 3.6% y/y (chart). It has been trending higher since late 2025, underscoring persistent underlying price pressures.



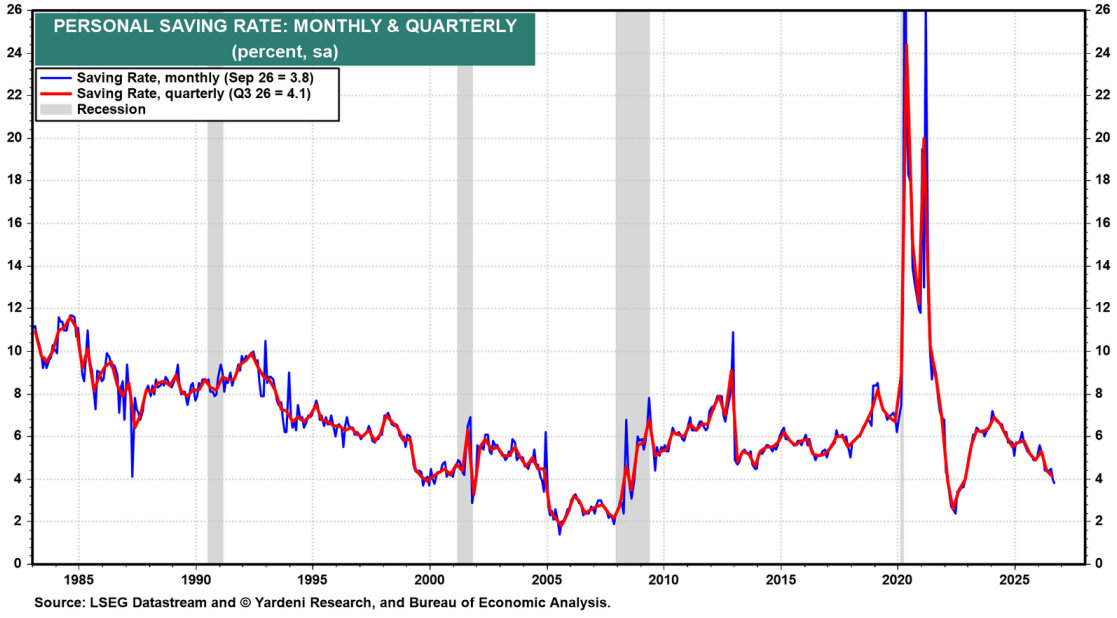
Services inflation remains broad-based, with most major categories rising around 3.0% y/y or more. Transportation services inflation has been particularly troublesome as higher energy costs feed through to service prices (chart).



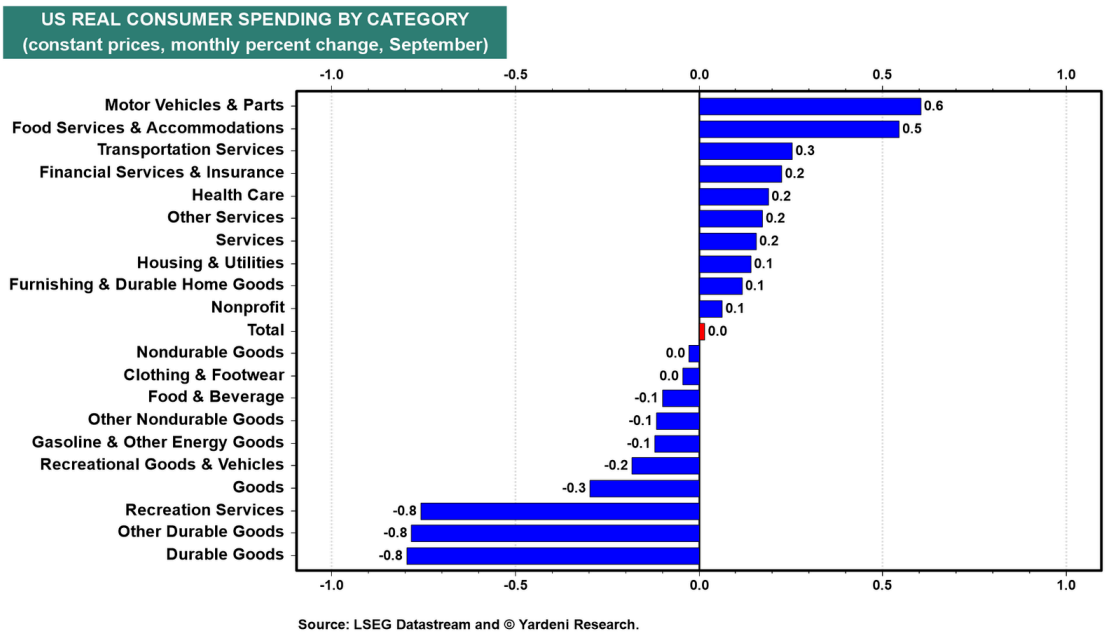
(3) Consumer spending and income. Americans continue to shop. Real consumer spending remained at a record high in September, even as real disposable personal income (DPI) declined for the first time since April (chart). Real DPI has been essentially flat for over a year, a trend likely to persist as more Baby Boomers retire.



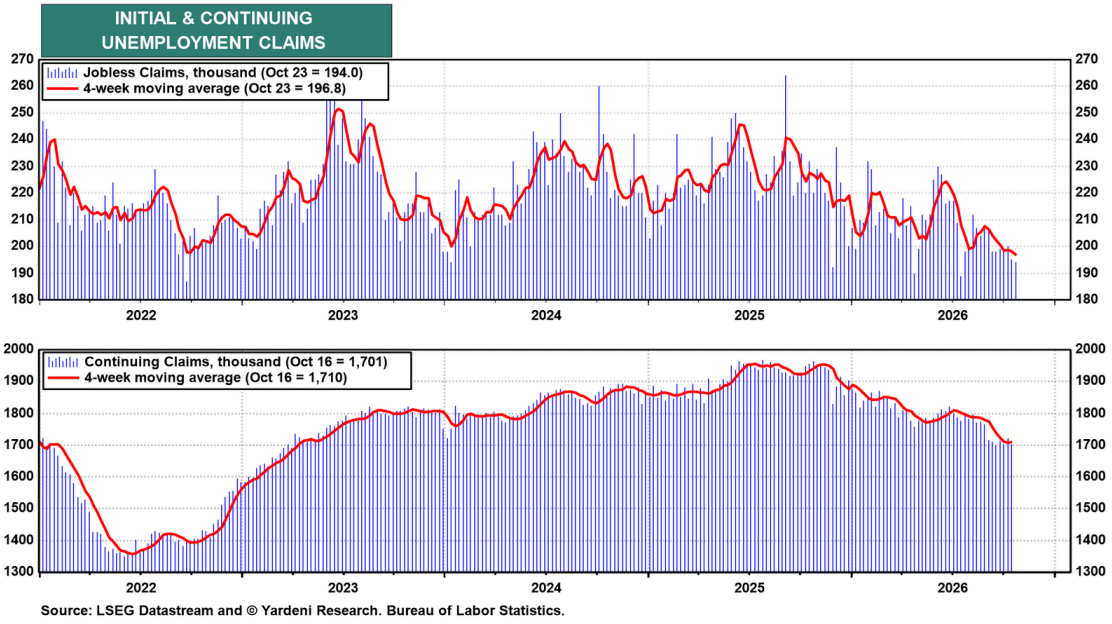
September's saving rate declined to 3.8%, the lowest since 2022 (chart). We expect it to fall further as retiring Baby Boomers continue spending their sizeable net worth because they are no longer earning labor income.



Real consumer spending was flat in September, as a 0.3% m/m decline in goods purchases offset a 0.2% increase in services spending. Spending on restaurants and hotels remained particularly robust, rising 0.5% following a 1.1% surge in August (chart).



(4) Labor market. Initial unemployment claims fell to just 194,000 during the week of October 24, marking the tenth reading below 200,000 this year, the most in any year since 1969! The four-week moving average also fell to its lowest level since October 1969. Continuing claims also declined, approaching their lowest level since April 2023. These figures underscore the labor market's remarkable resilience (chart).





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